

Annexure to the Report of Board of Directors
Business Responsibility Report

SECTION A – GENERAL INFORMATION ABOUT THE COMPANY		
1.	Corporate Identity Number (CIN) of the Company	L15140MH1933PLC002030
2.	Name of the Company	Hindustan Unilever Limited
3.	Registered address	Unilever House, B. D. Sawant Marg, Chakala, Andheri (East), Mumbai-400 099
4.	Website	www.hul.co.in
5.	E-mail id	levercare.shareholder@unilever.com
6.	Financial Year reported	1st April, 2021 to 31st March, 2022
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	• 20231 Soaps • 20233 Detergents • 20236 Shampoos • 20235 Toothpastes • 20234 Deodorants • 20237 Cosmetics • 10791 Tea • 10792 Coffee • 10750 Packaged Foods (including Frozen Desserts) • 27501 Water Purifiers • 28195 Air Purifiers • 10794 Malt based foods
8.	List three key products/services that the Company manufactures/provides (as in balance sheet)	• Home Care (Fabric Care, Home and Hygiene and Life Essentials) • Beauty & Personal Care (Skin Cleansing, Skin Care, Hair Care, Oral Care, Colour Cosmetics and Deodorants) • Foods & Refreshment (Culinary products, Foods, Health Food Drinks, Tea, Coffee, Ice cream and Frozen Desserts)
9.	Total number of locations where business activity is undertaken by the Company	
i.	Number of International Locations	None
ii.	Number of National Locations	• Registered Office: Unilever House, B. D. Sawant Marg, Chakala, Andheri (East), Mumbai - 400 099 • Research Centres: 64, Main Road, Whitefield P O, Bangalore - 560 066 Research & Development Centre, Plot No. 67, Sector-32, Gurgaon - 122 001, Haryana • Regional Offices (East): Brooke House, 9 Shakespeare Sarani, Kolkata - 700 071 • Regional Offices (West): Uttara, Plot No. 2, Sector No. 11, CBD Belapur, Navi Mumbai - 400 614 • Regional Offices (North): Block No. A, Plot No. B, South City I, Delhi - Jaipur Highway, Gurgaon - 122 001 24 floor, One Horizon Center, Golf Course Road, DLF Phase 5, Gurgaon - 122 002



	• Regional Offices (South): 101, Santhome High Road, Chennai - 600 028 Business Precinct, Prestige Shantiniketan, Whitefield Main Road, Bangalore – 560 048 • Regional Offices (Central): Office Space Number 101, 102, 103, 108 and 109, Shalimar Titanium, Vibhuti Khand, Gomti Nagar, Lucknow, Uttar Pradesh – 226 010 Unit No. 511 to 514, 5th Floor, Princes’ Business Skypark, Block No. 22,23,24, Sch No. 54, Pu-3 Commercial, Opposite Orbit, A.B Road, Indore - 452001, Madhya Pradesh	
10.	Markets served by the Company	Details of manufacturing locations is provided at page no. 301 of this Integrated Annual Report. India

SECTION B – FINANCIAL DETAILS OF THE COMPANY		(₹ in lakhs)
1.	Paid-up Capital	23,496
2.	Total Turnover	50,33,476
3.	Total profit after taxes	8,81,809
4.	Total Spending on Corporate Social Responsibility (CSR) as percentage of average Net profit of the Company for last three financial years:	18,573
5.	List of activities in which expenditure in 4 above has been incurred: Please refer to CSR Annual Report from page no. 60 to 66 of this Integrated Annual Report.	

SECTION C – OTHER DETAILS		
1.	Does the Company have any Subsidiary Company/ Companies?	As on 31st March, 2022, the Company has 12 Subsidiary Companies. Hindustan Unilever Foundation and Bhavishya Alliance Child Nutrition Initiatives - both are not-for-profit Companies incorporated to promote and implement the CSR agenda. Both the Companies work in the areas of social, economic and environmental concerns and contribute to the sustainability initiatives of the Company. In addition, Unilever India Exports Limited and Lakme Lever Private Limited also contribute to the sustainability initiatives of the Company.
2.	Do the Subsidiary Company/Companies participate in the Business Responsibility (BR) initiatives of the parent Company? If yes, then indicate the number of such subsidiary Company(ies)?	Your Company works with stakeholders in its extended value chain through its Business Responsibility initiatives.
3.	Do any other entity/entities (e.g. suppliers, distributors, etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]	Your Company also requires its third-party business partners to adhere to business principles set out in the Responsible Sourcing and Business Partnering Policy (RSBPP), which underpins the third-party compliance programme.

Business Responsibility Report

SECTION D: BUSINESS RESPONSIBILITY INFORMATION
Details of Director/Directors Responsible for BR

The details of members of CSR Committee and their roles and responsibilities are elaborated in CSR Annual Report and Corporate Governance Report forming part of this Integrated Annual Report.

The DIN details of the CSR Committee members are as follows:

Name	Designation	DIN
O. P. Bhatt*	Independent Director	00548091
Sanjiv Misra	Independent Director	03075797
Kalpna Morparia	Independent Director	00046081
Leo Puri	Independent Director	01764813
Sanjiv Mehta	Chief Executive Officer and Managing Director	06699923
Ritesh Tiwari	Executive Director, Finance & IT and Chief Financial Officer	05349994

*Chairman of the CSR Committee

Details of BR Head:

The Company has robust governance mechanisms to monitor the progress of the Company’s Compass sustainability commitments. The Compass leadership team reports commitments on to the Chief Executive Officer and Managing Director and Management Committee on a quarterly basis.

Particulars	Details
DIN	06699923
Name	Sanjiv Mehta
Designation	Chief Executive Officer and Managing Director

PRINCIPLE-WISE (AS PER NVGS) BR POLICY/POLICIES (REPLY IN Y/N)

Respect and Integrity for its people, environment and other businesses have always been at the heart of your Company’s Corporate Responsibility. Your Company’s Corporate Purpose is to make Sustainable Living Commonplace and it believes that this is the best way to deliver long-term sustainable growth.

This purpose is supported by the Code of Business Principles (‘CoBP or Code’), which describes the standards that everyone at the Company follow. Our Compass sustainability commitments are the Company’s blueprint for achieving sustainable growth.

CoBP and the Company’s Compass sustainability commitments framework supplement the requirements under the National Voluntary Guidelines issued by the Ministry of Corporate Affairs and cover principles beyond those enunciated under the National Guidelines.

The National Voluntary Guidelines provide the following nine principles.

Principle 1: Ethics, Transparency and Accountability [P1]	Principle 6: Environment [P6]
Principle 2: Products Lifecycle Sustainability [P2]	Principle 7: Policy Advocacy [P7]
Principle 3: Employees’ Wellbeing [P3]	Principle 8: Inclusive Growth [P8]
Principle 4: Stakeholder Engagement [P4]	Principle 9: Customer Value [P9]
Principle 5: Human Rights [P5]	



(a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have policy/policies for...	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy confirm to any national/international standards? If yes, specify?	Y	Y	Y	Y	Y	Y	Y	Y	Y
		CoBP of the Company confirms to the United Nations Global Compact (UNGC) guidelines and International Labour Organisation (ILO) principles.								
4	Has the policy been approved by the Board. If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
		CoBP and the Compass Sustainability commitments are frameworks adopted by Unilever globally and have been adopted by the Company.								
5	Does the Company have a specified Committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
		CoBP is administered under the overall supervision of the Management Committee of the Company, headed by the Chief Executive Officer and Managing Director. The Audit Committee of the Board reviews the implementation of CoBP. The CSR Committee of the Board reviews the implementation of the Company’s Compass sustainability commitments besides the scope that has been laid out for this Committee under the Companies Act, 2013.								
6	Indicate the link for the policy to be viewed online	Compass sustainability commitments: https://www.hul.co.in/planet-and-society/ CoBP: https://www.hul.co.in/files/origin/the-codeof-business-principles-english.pdf Responsible Sourcing and Business Partnering Policy (RSBPP): https://www.hul.co.in/files/origin/cobp-responsible-sourcing.pdf								
7	Has the policy been formally communicated to all relevant internal and external stakeholders’?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders’ grievances related to the policy/policies?	Y	-	Y	Y	Y	Y	-	-	Y
10	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

(b) If answer to the question at serial number 1 against any principle, is ‘No’, please explain why: **Not Applicable**

GOVERNANCE RELATED TO BR

The Management Committee of the Company reviews complaints, issues and concerns received under the CoBP framework as well as the implementation of the CoBP on a monthly basis. The Audit Committee of the Company reviews the implementation of the CoBP on a quarterly basis. The CSR Committee of the Company comprising a majority of Independent Directors is responsible for formulating, implementing and monitoring the CSR

Policy of the Company. The Committee meets at least twice a year to review progress on various sustainability initiatives, including progress under the Compass sustainability commitments.

Reporting progress to stakeholders on Compass sustainability commitments forms an important part of the governance procedures of your Company.

Business Responsibility Report

Your Company's Compass sustainability commitments can be accessed at <https://www.hul.co.in/planet-and-society/>. In line with the requirements of the Companies Act, 2013, your Company has also published the CSR Annual Report which forms part of this Annual Report. The CSR Annual Report and this Business Responsibility Report can be accessed at <https://www.hul.co.in/investor-relations/annual-reports/>.

PRINCIPLE 1: ETHICS, TRANSPARENCY AND ACCOUNTABILITY

Businesses should conduct and govern themselves with ethics, transparency and accountability

The standards on ethics, transparency and accountability are stated under the CoBP and Code policies of your Company. Code is the statement of values and represents the standard of conduct which everyone associated with your Company is expected to observe in all business endeavours. Directors and Employees are often the first to realise that there may be something not in order requiring redressal by the Company. The purpose of the Whistle Blower Policy is that not only Directors and employees but also any other persons including vendors, contractors, sub-contractors, consultants, trainees, shareholders, former employees or any other third parties (collectively called as "Persons") must be able to raise concerns regarding any potential violation easily without any fear of retaliation. Whistle Blower Policy expects all individuals associated with the Company to be the guardian of Company's core values and the corporate purpose. The Whistle Blower Policy provides an avenue to report matters directly to the Management or to the Chairman of the Audit Committee. The CoBP and Whistle Blower Policy and their implementation are explained in detail under the Report of Board of Directors and the Corporate Governance Report.

PRINCIPLE 2: PRODUCTS LIFECYCLE SUSTAINABILITY

Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

Consumers increasingly prefer responsible brands and responsible businesses. Your Company's brands have integrated responsibility and sustainability into both their purpose and products. For example, your Company's brands such as Pureit (Water), Domex (Sanitation) and Lifebuoy (Hygiene) have driven the water, sanitation and hygiene (WASH) agenda in India. Your Company has reached over 154 million people through its initiatives in the area of health and wellbeing and has also contributed to an important national agenda through its Swachh Aaad, Swachh Bharat programme.

Life Cycle Analysis (LCA) is one of several techniques your Company uses to understand the impact of its products across each stage of their life cycle – from the sourcing of raw materials to product manufacturing, distribution, consumer use and disposal. We use LCA in three main ways:

- 1. New Product Design:** LCA is used to compare the environmental performance of new vs. existing products - helping to guide the choices made by product developers. It is also used to communicate the environmental performance of our products to consumers.
- 2. Existing products:** LCA helps the Company identify opportunities to improve the environmental impact of existing products. It can also improve the quality and availability of data used by us and others e.g. it is used when working with suppliers to reduce the environmental impact of our ingredients.
- 3. Science and Methodology:** Your Company engages with partners to develop and promote the science used for LCA, aiming to improve both the robustness and scope of life cycle-based approaches and assessment. Your Company has contributed to the science of LCA assessment methods in a number of areas including land use, biodiversity and water-related impacts.

Sustainable purpose, sustainable products

The Company's purpose-driven brands are not limited to being socially relevant but are also environmentally sustainable. Many of your Company's food products are made from sustainably sourced agricultural raw materials. For example, 93% of tomatoes used in your Company's Kissan ketchup are from sustainable sources. This sustainable sourcing is enabled through partnerships with multiple stakeholders. Over 68% of the tea sourced in India was from sustainable sources. In 2021, we continued our process of buying RSPO (Round table on Sustainable Palm Oil) certified palm oil to achieve the ambition of reaching 100% sustainable sourcing. Your Company has embarked upon a journey to source deforestation-free palm oil by 2023 by working with supply partners. Your Company uses 98% of paper and board in packaging sourced from mills that are certified sustainable by Forest Stewardship Council (FSC). Your Company is also working through its supplier partners with over one lakh smallholder farmers for sustainable farming of tea, tomato, chicory and gherkins.

The Company has taken an environment-friendly target of net zero emissions in its operations by 2030. One of our achievements include elimination of coal across all our

operations by replacing it with green alternatives such as biomass and biodiesel.

Product safety

Being responsible also means ensuring that your Company's products are of high quality and completely safe for use by its consumers, employees and the environment. Unilever has a Safety & Environmental Assurance Centre (SEAC) which assures the safety and environmental sustainability of the products as well as the processes used to manufacture them. Your Company works closely on all safety and environmental assurance aspects with SEAC and releases any new product to the market after a successful product safety assessment from SEAC. Your Company is also committed to make all ingredients and formulations biodegradable by 2030, to minimise their impact on water and aquatic ecosystems.

Your Company also follows processes and change management protocols to ensure that consumers get quality products and their safety is assured during the life cycle of product distribution and usage.

In addition to strong processes on product evaluation, your Company has been active in applying and further developing the LCA approach for application to products and brands. Annually*, Unilever conducts a simplified LCA exercise on representative products across various countries including India which involves studying the environmental impacts of a product – from the sourcing of raw materials, such as via mining or agriculture, to product manufacture, distribution, consumer use and disposal. The methodology is consistent with ISO 14040 and was recognised by the United Nations Environment Programme as one of first examples of an organisational LCA.

PRINCIPLE 3: EMPLOYEES' WELLBEING

Businesses should promote the wellbeing of all employees

Your Company's wellbeing strategy is central to employee experience and productivity. In our endeavour to unlock wellbeing, we implemented a powerful framework – 'Wellbeing for All', that offers customised solutions to employees, including all the blue-collared workforce who have also benefitted through additional support on medical facilities, mental wellbeing and one-on-one connects with management team members. This has enabled us to create safe psychological spaces within the organisation enabling employees to bring their best selves to work.

* The footprint results are externally assured by PriceWaterhouse Coopers (PwC).

Safety Vision – An incident-free organisation

Your Company's purpose in safety is driven by deep care for our people and partners, and we do not want anyone to get injured at work, travelling to work or in any other activity outside of work. During the year 2021, your Company continued to address key risks in our operation including special focus on safe travel. Your Company's safety performance is regularly reviewed by Central Safety, Health and Environment Committee, which consists of all Members of Management Committee and is led by the Chief Executive Officer and Managing Director.

Employee Wellbeing

During the year, we continued to embed 'House of Wellbeing', our holistic wellbeing framework offering customised solutions to five target audiences - 1) Line Leaders, 2) Teams, 3) Line Managers, 4) Individuals and 5) Impacted Individuals. The segmented approach has helped create a bouquet of solutions in varying degree of intensity and frequency. We invested over 15,000 hours in employee wellbeing through a range of tools and resources.

To support Line Leaders during Covid-19 - we designed 'People Leaders Check-in Circles', for leaders to come together in small groups to share their realities in a safe space. The sessions were facilitated by world-class thought leaders. We conducted 17 such people leaders circle covering 120+ leaders within HUL. With prolonged Covid-19, there was a need for systemic support for individuals, especially impacted individuals. We extended support for 100+ employees and family members across the country during this period with grief counselling with our expert grief counsellors. Our Employee Assistance Programme (EAP) offers 24*7 support to employees and their families in eight local languages - all of it one click, one text, one call away. We have a team of expert counsellors assisting employees with practical information and counselling on a variety of topics.

We dialled up the conversation around mental health in our frontline teams, training 45 blue-collar Mental Health Champions (MHCs) across 10 factory locations and we have over 850+ trained MHCs. As a result of our sustained efforts, we saw the reflections in our annual employee survey, UniVoice, with 85% office based employees and 96% factory employees sharing their belief that Unilever cares for their wellbeing.

Building capabilities for the future

With the world changing at a fast pace, we are continually adapting to remain future-fit. Your Company is 'Reimagining HUL' by leveraging these tectonic shifts

Business Responsibility Report

to deliver a frictionless consumer & customer experience and to create a future-fit organisation that continues to deliver competitive growth. As your Company transforms itself to become a more intelligent consumer-tech enterprise, it is building talent, capabilities and culture to win in the new decade. This transformation journey is being undertaken at the organisational level with a clear focus on functional priorities.

To build an intelligent enterprise enabled by AI and machine augmented value chain with data, technology and analytics at the centre of it, your Company ran a bespoke 'Learning Week' aiming to trigger upskilling & agility with focus on Data & Digital.

To foster a culture of outperformance, your Company is building leaders of the future to perform and transform in this dynamic environment. As part of this, all employees have embarked on a journey of creating their individual future-fit plans that will have an optimal balance of their purpose, wellbeing, standards of leadership and key focus skills, given the context of their roles. This will be supplemented by a detailed action plan that each leader and employee will create for their own development.

To build a future-fit organisation that is equipped to thrive in today's dynamic world, an e-Commerce accelerator has been created to fast-track e-Commerce knowledge and enable teams/ individuals to stay future-fit. E-commerce Accelerator Hub provide three learning tracks – Essentials, Enhanced and Elite – which are designed and developed to drive knowledge, understanding and awareness of all things e-Commerce created in partnership with 'EConsultancy'.

Your Company continues to leverage newer channels of learning with platforms like Degreed, Udemy and LinkedIn learning. Your Company has seen a shift in consumption of learning, to byte-sized modules consumed on the go. Over the year, your Company clocked 85,000 learning hours, with 87% employees logging on to online learning platform-Degreed.

Equity, Diversity and Inclusion (ED&I)

In your Company's endeavour to build a diverse and inclusive organisation, in 2021 your Company's approach to ED&I has been to raise a voice of allyship and advocacy, catalyse through progressive policies and support the evolving households and employee's relationship with work, while sustaining the brilliant basics that have served well so far.

As an organisation, your Company believes that flexibility will be a core feature of our new relationship with work. To build a balanced organisation, our objective has been to create a work life blend for women-which allows them to have thriving careers while having time carved out to refresh, recharge and re-energise. Our aim is to be gender balanced in our managerial levels in the next few years and keeping with this view, in 2021 we have managed to improve our gender balance from 41.78% in 2020 to 44.08%* at managerial levels. Another step in our diversity step has also been the introduction of 250+ women in the sales outer core as a part of Project Ahilya and addition 57 women in Haldia and Kidderpore factories.

After the launch a gender-neutral policy to support the survivors of abuse in 2020, in March 2021, your Company launched campaign #UnMute: end the silence on domestic violence. With this initiative, we aimed to address the issues around women safety by not only enabling our employees and supporting our extended value chain, but also by becoming a voice of allyship on women's safety and domestic violence. Under this campaign, so far, we have managed to cover all our employees and over 100,000 women in our ecosystem and we aim to reach an additional 500,000 women by the end of 2022.

In 2021, your Company also launched HUL ProUd network as an employee resource group for LGBTQI+ employees and allies. The HUL ProUd network is a channel within the Global Unilever ProUd Network and has more than 400 members in the group.

Affirmative action and prevention from sexual harassment

Your Company believes in providing Equal Opportunity/ Affirmative Action. It has a Policy on Affirmative Action and a Policy on Prevention of Sexual Harassment at Workplace (POSH) to provide a work environment that ensures every person at the workplace is treated with respect & dignity and is afforded equal treatment. Issues relating to sexual harassment are dealt with as per the Company's POSH Policy, the CoBP and applicable laws. Your Company's POSH Policy is now not only gender neutral but also LGBTQI+ inclusive. The Policy clearly details the governance mechanisms for redressal of sexual harassment issues relating to women and other genders/sexual orientations. Communication is sent to all employees on a regular basis on various aspects of POSH through e-articles and other means of communication. During the year 2021-22, two complaints with allegation of sexual harassment

* excluding nutrition business



were received by the Company and the same were handled as per the provisions of the Prevention of Sexual Harassment at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

More than 8,500 employees and third-party business partners were trained on Prevention of Sexual Harassment at Workplace and related topics. Trainings included:

- Induction/Refresher/Gender Sensitisation sessions for new joiners/trainees/interns/third-party business partners on the subject of POSH; and
- Blue collar Employees across locations were taken through training programmes on appropriate workplace behaviours, gender sensitisation and POSH.

Fair labour practices

Your Company drives fairness in the workplace by advancing human rights across its operations and extended supply chain. Your Company has an excellent record on industrial relations. Your Company currently has over 12,060 blue collar employees and has over 8,450 people employed on contractual/temporary basis as on 31st March, 2022.

Freedom of association, participation and collective bargaining

All workers are free to exercise their right to form and/ or join trade unions or to refrain from doing so and to bargain collectively.

There are over 357 female blue collar employees and over 20 permanent blue collar employees with disabilities in your Company's factories.

During the last year, your Company entered into long-term settlements with around 2,331 employees across India.

Managing grievances

Your Company's grievance redressal mechanisms ensure that all employees and third parties can raise issues and concerns. The CoBP and Whistle Blower Policy provide for reporting of issues like child labour, sexual harassment, etc, in confidence. The Company has established a vigil mechanism for all its stakeholders to report their genuine concerns, details of which have been given in the Corporate Governance Report. During the financial year, there have been no complaints alleging child labour, forced labour, involuntary labour and discriminatory employment.

PRINCIPLE 4: STAKEHOLDER ENGAGEMENT

Businesses should respect the interests of, and be responsive towards all stakeholders', especially those who are disadvantaged, vulnerable and marginalised.

Your Company actively engages with stakeholders in its own operations and beyond to bring transformational change.

Internal and external stakeholder engagement and partnership is essential to grow your Company's business and to reach the ambitious targets set out in the Compass. The Code and Code Policies guide how your Company interacts with the partners – among other suppliers, customers, Governments, Non-Governmental Organisations (NGOs) and trade associations. Only authorised and appropriately trained employees or representatives can engage with these groups. All engagement must be conducted in a transparent manner with honesty, integrity and openness; in compliance with local and international laws and in accordance with Unilever's values. The Company engages in multiple ways with important stakeholders:

Suppliers

Every day, we work with thousands of suppliers who are helping us achieve success in the market. Our suppliers help us innovate, create value, build capacity and capability, deliver quality and service and drive market transformation. Last two years have been particularly challenging for our suppliers and partners. Initial lockdowns affected production, and their cash flow. Border restrictions hampered logistics; and Government regulations to protect people and ensure safe working environments demanded new ways of working, often at very short notice. Our suppliers were looking up to us for support in terms of working capital and simple ways to engage so that there is clarity in the ways of working. The Company introduced a number of interventions to support suppliers during the pandemic, including permissions from Government for keeping production of essential products running, providing cashflow relief. We started a programme 'Together We Can' with suppliers to secure availability of essential materials and protect our financial model. We continue investing in long-term mutually beneficial relationships with our key suppliers through our 'Partner with Purpose' programme, so we can share capabilities and co-innovate for mutual and sustainable growth.

Business Responsibility Report

Consumers and customers

The year 2021 has seen unprecedented challenges in the external environment. Your Company has consistently showed resilience and strength of purpose across different stakeholders in its pandemic response, prioritising safety and wellbeing while ensuring availability of your Company’s essential products and services to consumers. While your Company had a strong start to the year, the onset of the second wave led to drops in both consumption and growth. However, the Customer Development team continued to follow a consistent strategy of driving flawless execution through the agile execution framework and building business models for future by innovating & adopting technology.

- Following the People**
Channelling the robust ‘Winning In Many Indias’ (WiMI) structure, your Company has successfully pinpointed demand shifts induced by reverse migration, resurgence of neighbourhood stores and growth of e-Commerce during the Covid-19 pandemic. Combining external indicators and mobility data with trends seen in internal sales, your Company has successfully identified focus districts and focus portfolios for driving distribution, and further collaborated with Government bodies to ensure essential products reach outlets for consumers in need during lockdowns. By aligning business goals with these focus areas, the Company maximised growth, availability and brand presence across categories and population strata in these focus areas.
- Working with Technology**
The technological strength and data-driven decision making came to the fore during the last year, when digital journeys managed to mitigate many of the challenges faced due to physical restrictions amidst strict lockdowns. Your Company’s investment in an e-B2B order capturing app Shikhar has enabled retailers to place contactless orders safely and has also provided them visibility on fulfilment of these orders through logistics tie-ups and intuitive interfaces. Your Company has also developed a highly-used One-Stop App platform for distributors, sales officers and managers across your Company to improve engagement and provide actionable insights on-the-go.
- Protecting the extended value chain**
Your Company has shown empathy and solidarity towards not just immediate employees, but also

towards the employees of our business partners, customers, and retailers, prioritising their safety and welfare. Your Company has ensured distribution of sanitisers, face masks and face shields to all our extended value chain workers and enforced social distancing and staggered working during periods of high footfall in organised retail, demonstrating our People First culture in market and winning hearts across.

- Landing Integration:**
Another massive project undertaken by your Company was integration of the nutrition business. This complex integration involved multiple workstreams like optimisation of new distributors, along with business terms harmonisation, training, and onboarding of large field teams, outlet migration, along with the entire technological deployment to enable ongoing business processes.
- Levercare:**
Your Company has Levercare, a toll-free number, an e-mail and a postal address where consumers can reach the Company directly. Levercare gives consumers the promise of better service and helps the Company to connect with consumers and understand their needs, expectations and aspirations. It helps consumers voice their queries, grievances and offer suggestions and ideas. Levercare has leveraged technology to deliver personalised service that helps build one-on-one relationships with consumers and customers to delight them. Detailed description of more such initiatives is given in Principle 9 (Customer Value).

Shareholders and investors

Your Company regularly interacts with its shareholders and investors through results announcements, annual report, Company’s microsite on performance highlights, media releases, Company’s website and subject-specific communications. The Annual General Meeting gives the shareholders an opportunity to come in direct communication with the Board of Directors and the Management. During this meeting, the Board engages with shareholders and answers their queries on varied subjects. Your Company has a designated e-mail address for shareholders. The Investor Service Department regularly engages with the shareholders to resolve queries, grievances, if any, and provides guidance to shareholders for any Company-related matters. The Investor Relations team also interacts regularly with investors and analysts,

through quarterly results calls, one-on-one and group meetings, participation at investor conferences.

Government

Your Company co-operates and engages with governments, regulators and legislators, both directly and through trade associations, in the development of proposed legislation and regulation which may affect business interests.

NGOs

Your Company is building transformational partnerships in collaboration with NGOs and other stakeholders who share the Company’s vision for a sustainable future. These partnerships are instrumental in improving the quality of people’s lives, achieving the Company’s sustainability targets and driving the business growth. Your Company’s wholly owned subsidiary, Hindustan Unilever Foundation, partners with several NGOs for undertaking water conservation programmes. The Company has also partnered with NGOs for implementing the Swachh Aaad curriculum and conducted projects for waste collection and segregation.

Media

Your Company engages with media to update about the developments in the Company. Regular interactions with print, television and online media take place through press releases, media events and quarterly results announcements. Your Company also ensures timely and appropriate responses to media for any information requests within the stipulated disclosure norms.

Employee engagement

Your Company has several communication processes instituted to ensure a two-way communication channel with its employees. Last year, employee communications continued to be in focus against a backdrop of the second Covid-19 wave and the subsequent gradual return to workplace. The communication channels leveraged last year include:

- Virtual townhalls on Covid-19 and Return to Work to address any concerns on vaccination, medical support, Company policies & initiatives, safety of the workplace and more
- Quarterly Report Back: Quarterly performance update was delivered by the Management Committee to all employees.

- Others: The Company has other in-house communication channels both digital and offline that help employees to connect, bond, inspire, express and celebrate their achievements.

PRINCIPLE 5: HUMAN RIGHTS
Businesses should respect and promote human rights

Your Company seeks to uphold and promote human rights in its operations, in relationships with business and partners; and by working through external initiatives such as the United Nations Global Compact. Unilever has identified eight human rights issues as priority and is committed to addressing them across its operations globally. The eight priority issues are: discrimination, fair wages, forced labour, freedom of association, harassment, health and safety, land rights and working hours. Unilever’s approach to managing these critical human rights issues globally is elaborated on the Unilever website.

Unilever’s Human Rights Progress Report of 2021 looks at the work that has been done to continue implementing the UN Guiding Principles on Business and Human Rights.

In India, your Company fully adheres to Unilever’s approach to human rights. In addition to this, your Company’s CoBP upholds the principles of human rights and fair treatment. The Code also conforms to the ILO principles.

The principles of human rights are followed in the same spirit within as well as outside the organisation when engaging with business partners. Your Company’s RSBPP for suppliers reinforces the principles of human rights and labour rights for all suppliers of your Company and is available on Unilever’s website. No complaints were received regarding human rights violation during the year.

PRINCIPLE 6: ENVIRONMENT
Businesses should respect, protect and make efforts to restore the environment

In line with Compass sustainability commitments, Company’s aim is to grow the business whilst decoupling the environmental footprint from growth and increasing the positive social impact. As part of our Compass targets, we monitor climate change and are responding by ensuring that we reduce the environmental impact of our operations.

Your Company has undertaken multiple initiatives, which are elaborated as under:

Business Responsibility Report

Climate Action: Zero Emissions in our Operations by 2030

Your Company has reduced 94% CO₂ emissions (vs 2008 baseline). Additionally, we successfully eliminated Coal across our operations and added seven Megawatt (MW) of Renewable Energy (RE) solar/wind.

Additionally, across our manufacturing locations, various Energy conservation projects have been implemented such as installation of Energy efficient HVAC Systems, Energy efficient Pumps, Motors, Blowers, Variable Frequency Drives (VFD's), Air compressor efficiency improvement and pressure optimisation, LED lights, etc.

Protect and regenerate nature: Implement Water Stewardship Programmes in 12 Locations in Water Stressed areas by 2030

Your Company has initiated the deployment of Water Stewardship Programme (as per AWS methodology) at Sonipat, India.

Additionally, across our manufacturing locations, we have implemented various water conservation initiatives such as rainwater harvesting projects, maximising direct rainwater use in processes and utilities, increase in steam condensate reuse, improving recovery efficiency and maximising use of RO plants, optimisation in sanitation cycles, reduction of cooling tower drift losses and boiler blowdown optimisation.

Waste-free world: Halve Food Waste in our Operations by 2025

To minimise food waste across our operations, we have implemented the Food Waste hierarchy (Reduce, Reuse and Recycle). Few examples include reduction of waste at source, donations, animal feed, composting, etc.

Additionally, across manufacturing operations, factories have identified creative reuse opportunities for various waste streams. For example, replacing small bags with reusable jumbo bags, reusing packaging material such as drums after washing and cleaning in collaboration with supplier, developing inhouse composing facility for organic waste, sludge reduction by improving efficiency of cleaning process and by introducing sludge drying facilities. All factories have provided segregation at source facilities to improve recyclability.

Maintain zero waste to landfill in our factories

Your Company maintained the status of 'zero waste to landfill' across all its factories in 2021.

100% of the non-hazardous waste generated at our factories was recycled or reused or sent for energy recovery in environment friendly ways.

Monitoring procedures

The progress on sustainability is monitored at different levels as mentioned below:

- Compass Sustainability Governing Council:** The top leadership from respective business verticals and functions constitute the Compass Sustainability Governing Council. The Company has a governance mechanism and scorecard to monitor the progress on sustainability commitments. The Council reports the progress to the Chief Executive Officer and Managing Director, and Management Committee on a quarterly basis.
- Global Environmental Performance Monitoring Portal:** The 'SHE (Safety, Health and Environment) Team' monitors the performance against set targets and provides feedback as well as management updates. Audits are conducted at sites randomly selected by above team through reputed external auditors.
- Environment Sub-Committee:** The Environment Sub-committee consists of team members from various functions such as Supply Chain, Engineering, Finance, Research and Development, Legal and Corporate SHE Team. It is led by the Executive Director, Supply Chain and convenes periodically to assess EPR (Extended Procure Responsibility) plan execution, Environmental performance in sites (e.g., reduction in water consumption, reduction in waste generation, improved methods for waste disposal, reduction in electricity usage and CO₂ emission, etc.) and initiatives like rainwater use in operations etc.

Risk Assessment

All the emissions/waste generated by your Company are generally within the permissible limits given by respective state Pollution Control Boards (PCBs).

PRINCIPLE 7: POLICY ADVOCACY
Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

Your Company's approach to advocacy is guided by the CoBP. The Code provides that any contact by the Company or its business associates with Government, legislators, regulators or NGOs must be done with honesty, integrity, openness and in compliance with applicable laws. Only authorised individuals can interact

with these organisations. Prior internal approval is required for initiating any contact between the Company, its representatives and officials, aimed at proactively addressing changes/suggestions to regulation or legislation.

The Company is represented in key industry and business associations which include Confederation of Indian Industry (CII), Federation of Indian Chamber of Commerce and Industry (FICCI), Associated Chamber of Commerce and Industry of India (ASSOCHAM), Bombay Chamber of Commerce and Industry (BCCI), Advertising Standards Council of India (ASCI) and Indian Beauty and Hygiene Association (IBHA).

Many of the Board and Senior leadership team members are associated with several global bodies like the World Economic Forum (WEF), UNGC, apart from the leading business Chambers in India.

Your Company participates in multi-stakeholder engagements and, when relevant, responds to public consultations. Some of the key issues on which your Company engaged with the Government in financial year 2021-22 include:

- Effective plastic waste management.
- Engagement with Government on 'Ease of Doing Business' initiatives, including simplifying and harmonising State and Central laws and compliances.
- Recommending changes on upcoming e-Commerce policy to mitigate the issue of counterfeits and fakes sold online.
- Recommending changes to Consumer Protection Regulations.
- IPR: Recommending changes in the Trademark Act for more effective enforcement against infringers and counterfeiters, parallel imports and better process for recognition and protection of well-known trademarks.
- Effective changes to the Prevention of Sexual Harassment at Workplace Act.
- Recommending changes and suggestions under the Labour Codes and relevant rules.
- Recommendations on changes in the Legal Metrology Act and Packaged Commodity Rules on decriminalising offences, easing compliances, etc.
- Recommending changes to the proposed law on Drugs and Magic Remedies.
- Representation to Government on the draft membrane based water purification system regulations.
- Engaging with the Government on the proposed Data Privacy law and the Non-personal data framework report.

- Provided inputs to Ministry of Corporate Affairs and SEBI on Business Responsibility and Sustainability Report (BRSR) which are new requirements for sustainability reporting by listed entities.
- Representation to SEBI on the proposed amendments to the Related Party Transactions (RPT) framework.
- Company has also written thought papers bringing out Industry perspective on subjects such as Exports, Tea Industry & its development, promoting Make in India.

PRINCIPLE 8: INCLUSIVE GROWTH
Businesses should support inclusive growth and equitable development

Your Company's inclusive growth approach focuses on improving the livelihoods of smallholder farmers, supporting small-scale retailers and helping young entrepreneurs. Some of the important initiatives are mentioned below:

Improving livelihoods of smallholder farmers

Your Company has been associated with a number of smallholder farmers through its supplier partners, training them on good agricultural practices like drip irrigation, nutrient management, pest and disease management to improve their livelihood. Through these programmes, smallholder farmers (SHFs) have benefitted by a higher yield, more certain demand and higher incomes.

Your Company is one of the co-founders of Trustea – the India Sustainability Tea Programme. The programme has now expanded into a much larger scale in the industry. Through the programme, 6,70,000 plantation workers (56% of them women workers) and 88,000 SHFs (about 42% of India's tea SHFs) have been positively impacted.

Over 1 lakh smallholder farmers have benefitted by implementing Unilever Sustainable Agriculture Code. We are working with farmers and suppliers to drive up social and environmental standards in our supply chain.

Your Company has worked with its suppliers to partner with smallholder farmers for cultivation of tomatoes. Your Company provides vital support by imparting tomato farmers with knowledge and expertise in sustainable agriculture practices for tomato cultivation. This includes the latest agricultural techniques, irrigation practices, and the recommendation of the right type of seeds. Till date, your Company has reached out to over 6,000 SHFs who cultivated tomatoes on more than 10,000 acres of land.

Your Company has expanded the sustainable sourcing programme to Chicory farming, where 4,000 smallholder farmers benefit from the programme.

Business Responsibility Report

Empowering women micro-entrepreneurs

Your Company’s inclusive growth approach focuses on improving the livelihoods of smallholder farmers, supporting small-scale retailers and helping young entrepreneurs. Some of the important initiatives are mentioned below:

Empowering women micro-entrepreneurs, Project Shakti is your Company’s initiative to provide livelihood enhancing opportunities to women micro entrepreneurs in rural India. The Shakti Ammas are given training for familiarisation with your Company’s products and basic tenets of distribution management. Currently, there are over 1,60,000 micro-entrepreneurs as part of Project Shakti.

Empowering communities through Prabhat

Project Prabhat is a community development initiative of the Company, which aims at creating sustainable and inclusive communities around the Company’s sites. By doing so, it is contributing towards a fairer and more socially and environmentally inclusive world, while using Company’s scale for good. Through Prabhat’s pillars of Economic Empowerment, Environmental Sustainability and Health & Nutrition, your Company has reached out to more than seven million people across 21 States and two Union territories since its inception in 2013.

Under Economic Empowerment, women and youth are provided skill and entrepreneurship training making them future ready for jobs/business. Prabhat Livelihood Centres in 17 locations have provided skill development to over 95,000 women and adolescents in the farm and non-farm sector and successfully generated employment for more than 50,000 people, 70% of which are women. Focusing on the health and wellbeing of women, Prabhat Poshan Saathi Programme has sensitised more than four lakh women on nutrition. Using life cycle approach, a cadre of outreach workers are trained to support rural women in their holistic nutrition journey. To provide access to affordable and quality health care, Prabhat Telemedicine Centres and Prabhat Swasthya Seva have been started in 10 locations. In order to drive a positive impact on the environment, we run specific interventions on water conservation, waste management and afforestation in the communities. Through Prabhat, your Company prevented over 65,000 kgs of waste from reaching landfills.

During the pandemic, more than 2.5 million individuals were provided with humanitarian relief such as grocery and hygiene kits. These kits used 3 lakhs environment friendly cloth bags made by Prabhat Livelihood Centre beneficiaries, helping them with additional income. Along with this, more than 800 wall paintings related to the

Covid-19 pandemic were painted in the rural hinterland to spread awareness amongst the community.

PRINCIPLE 9: CUSTOMER VALUE
Businesses should engage with and provide value to their customers and consumers in a responsible manner

While servicing more than two million outlets with an extensive network of customers and business partners, your Company has built a future-fit model evolved in response to learnings over the past year. Some of the key areas where we have taken a leap are:

- **Focus on Omnichannel:** Omni channel has emerged as a growing channel and it is extremely important to drive differential growth in this channel. Your Company has created teams exclusively to focus on niche aspects such as search and discoverability in the omnichannel space, acquiring new capabilities like performance marketing and visibility optimisation across platforms and partners in this fast-growing and highly competitive arena. Your Company continues to share this expertise and help channel partners evolve and adapt to suit the changing shopping behaviour insights emerging from the rich data ecosystem.
- **Modern Trade (MT) and e-Commerce:** Your Company continues to innovate across with key customers through customer centric activations and plans, building differentiated packs for niche MT and e-Commerce shoppers. Your Company continues to enhance capabilities and other digital advancements to engage shoppers both online and in stores. Through systems like OneMT Customer Portal, your Company has eliminated mundane manual effort across the value chain and replaced it with tightly governed and highly efficient, scalable systems to enable faster and more empowered customer decision making. Your Company continues to democratise data across employees and build a culture of data-led working with insights for growth.
- **Pharma and Expert Channel:** Integration of Nutrition business provided your Company with huge opportunity to bring growth in width and depth for the Pharma channel. Your Company has evolved the strategy for this channel with new portfolio while bringing ‘expert’ marketing expertise to capture the business opportunity and growth ambitions.
- **Project Shakti:** During the lockdown – Shakti Entrepreneurs ensured the availability of essential products in villages. All Shakti Entrepreneurs have moved to Direct-Bank-Transfer - empowering them to be educated and become in charge of their business



finances and terms. Your Company continues to drive social impact on awareness and empowerment to ensure it becomes a beacon of social change at the village level.

Responsible marketing and communication

Your Company has four clearly defined principles that guide its communications with consumers:

- Your Company is committed to building trust through responsible practices and through transparent communication – both directly to consumers and indirectly through other key stakeholders.
- It is your Company’s responsibility to ensure that its products are safe and that the Company provides clear information on their use and any risks that are associated with their use.
- Your Company fully supports a consumer’s right to know what is in the products and is transparent in terms of ingredients, nutrition values and the health and beauty properties of its products.
- Your Company uses a combination of channels, which includes product labels, websites, careline phone numbers and leaflets to communicate openly with its consumers.
- Your Company also supports industry self-regulation and the development of self-regulatory codes for all its marketing and advertising activities and applies these codes across its businesses. Your Company is one of the founder members of ASCI, a self-regulatory body which has developed principles and codes in the area of advertising and marketing. During the year, 14 complaints were filed with ASCI against advertisements made by your Company.
- Your Company has certain legal cases, including those relating to consumer/customer disputes. At the end of the year, there were 71 consumer cases pending.

Labels and Pack Information

All Company products comply with the applicable regulations such as the Consumer Protection Act, Drugs and Cosmetics Act, Legal Metrology Act, Bureau of Indian Standards Specifications, Trademark Act and Copyright Act, Food Safety and Standards Act, Tea Act, Tea Board Regulations for Labels and Pack Information.

* Where applicable and legally permissible in accordance with local or regional industry agreements

The food and beverage products also carry a nutritional information table on the back of pack in compliance with local legislation. As part of Guideline Daily Amounts (GDA) labelling, 100% of your food and beverage products included energy per portion information on the front of the pack and percentage GDA for five nutrients on the back of the pack*. In addition to national laws and self-regulatory codes in India, your Company also applies Unilever’s principles to the marketing and advertising of all its food and beverage products (updated in February 2020) directed at children (below 12 years). These principles require that marketing practices’:

- Do not convey misleading messages.
- Do not undermine parental influence. Advertisements always show parents as gatekeepers to the product being consumed.
- Do not encourage ‘pester power’.
- Do not suggest time/sense of urgency or price minimisation pressure.
- Do not encourage unhealthy dietary habits.
- Do not use broadcast or print media personalities in a way that obscures the distinction between programme or editorial content or commercial promotion.
- Do not direct any Marketing Communications to children under 12 years of age in traditional media like TV and radio, and to under 13 in social media.
- Do not use influencers who are under the age of 12.

Your Company is also a signatory of the India Policy on Marketing Communications to Children. In accordance, your Company pledges to advertise products to children under the age of 12 that meet common ‘Food & Beverage Alliance of India’ nutrition criteria and/or Unilever Highest Nutrition Standards. Where differences in criteria exist, we shall apply the strictest criteria across all Marketing Communications directed to children.

On behalf of the Board

Nitin Paranjpe
Chairman
(DIN: 00045204)

Mumbai, 27th April, 2022